

Amazon - Revenue & Cancellation Analysis

Revenue Assurance Investigation | FY 2022

Despite overall business growth, Amazon India faces a persistent revenue leakage problem driven by order cancellations. The Revenue Assurance Manager commissioned this analysis to answer three critical questions:

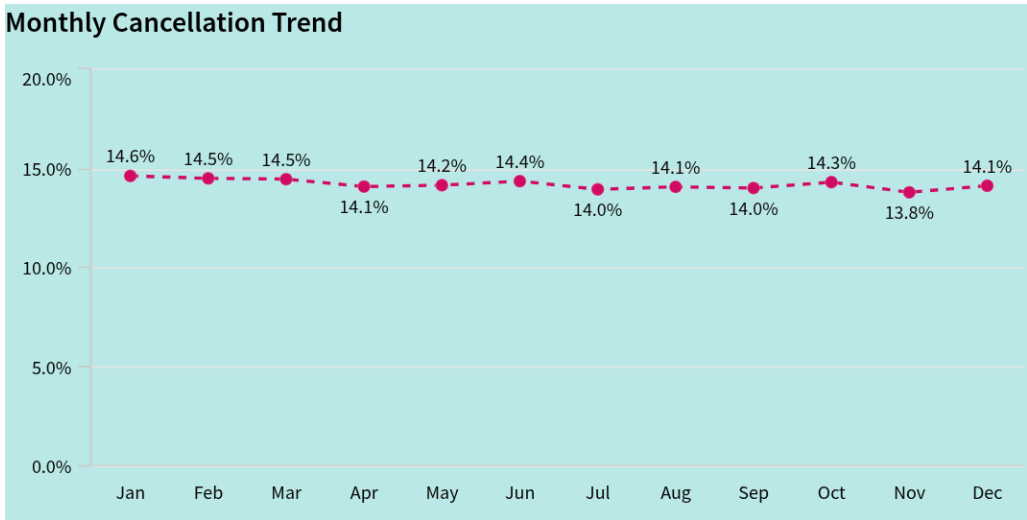
- 1. What is the true financial scale of revenue lost to cancellations?**
- 2. Is the cancellation rate at an alarming level or within manageable range?**
- 3. Which geographies, product categories, sizes, and shipping types require immediate priority attention?**

This analysis covers 1,28,975 orders across FY 2022, representing ₹7.86 Crore in gross revenue.

Dataset: Amazon India Orders | Period: FY 2022 | Tool: Python + Qlik Sense
Analysis: Revenue Loss & Cancellation | Analyst : Samresh Mandal

Scale of Revenue Leakage

Total Orders 129k	Cancelled Orders 18.33k	Cancellation Rate 14.21%	Gross Revenue 78.59M	Revenue Lost 6.92M	Revenue Loss Rate 8.80%
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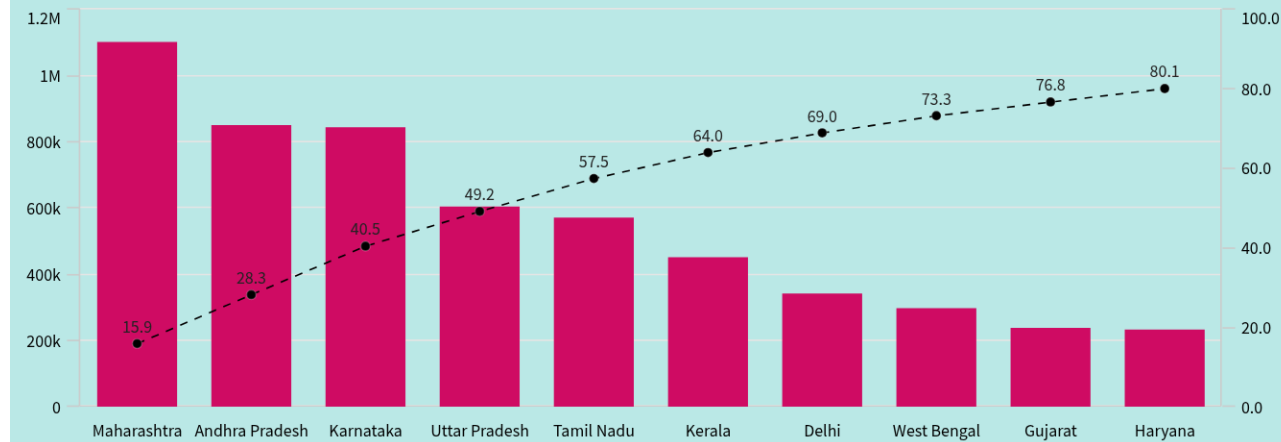
Key Finding:

1. Amazon India processed around 1.29 lakh orders in FY 2022 and generated ₹7.86 crore in gross revenue. However, around 18,332 orders were cancelled, which resulted in a revenue loss of approximately ₹69.19 lakh.
2. The overall cancellation rate was 14.21%, which is significantly higher than the 5% industry benchmark. This indicates that cancellations are a major business concern and need attention.
3. We also found that the revenue leakage rate was 8.80%. In simple terms, for every ₹100 of potential revenue, around ₹8.80 was lost because of cancelled orders.
4. Looking at the monthly trend, the cancellation rate stayed between 13.8% and 14.6% throughout the year. There were no major seasonal increases or decreases. This suggests that cancellations are not a temporary or seasonal issue but a consistent operational problem that needs to be investigated.

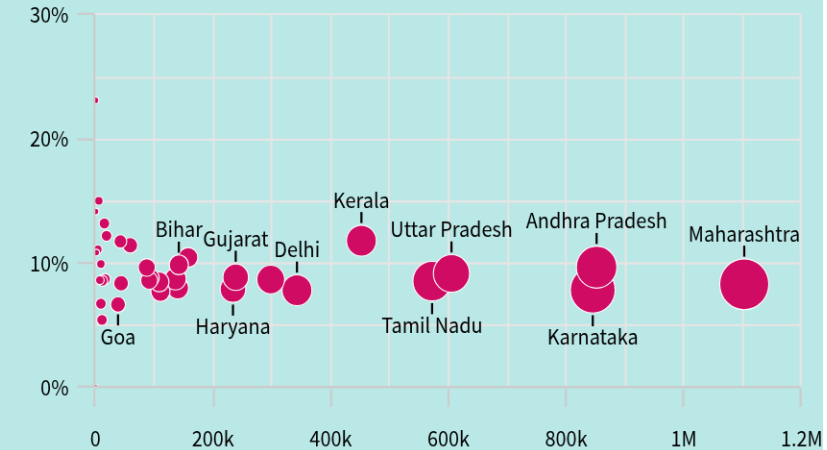
Geographic Insights

Top 10 States & Cities by Highest Revenue Impact

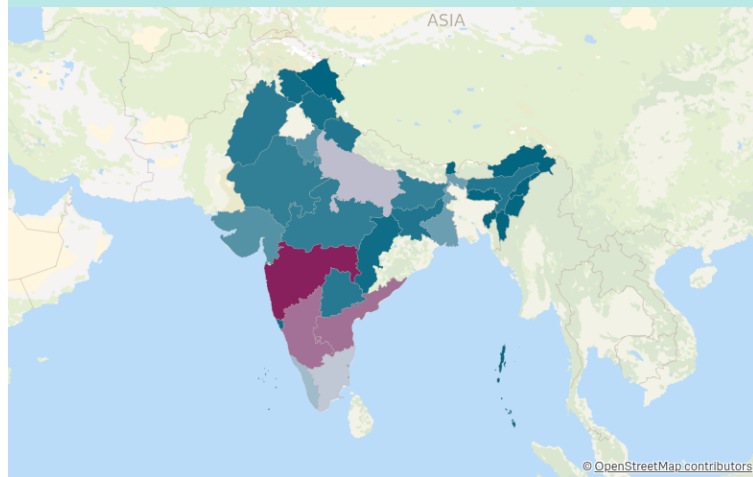
Bars show Revenue Lost · Line shows cumulative % of total



Cancellation Rate vs Revenue Loss by States



Revenue Loss by States

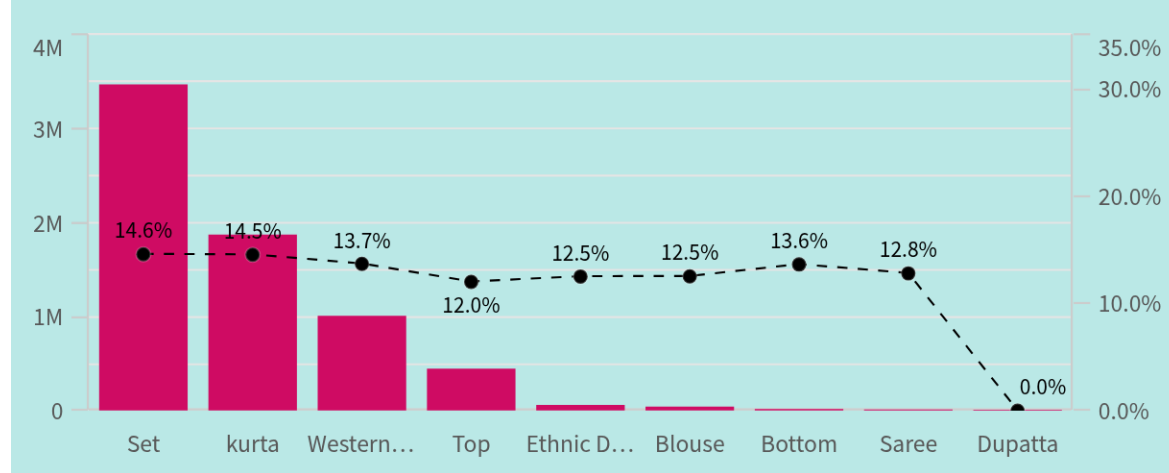


Key Findings

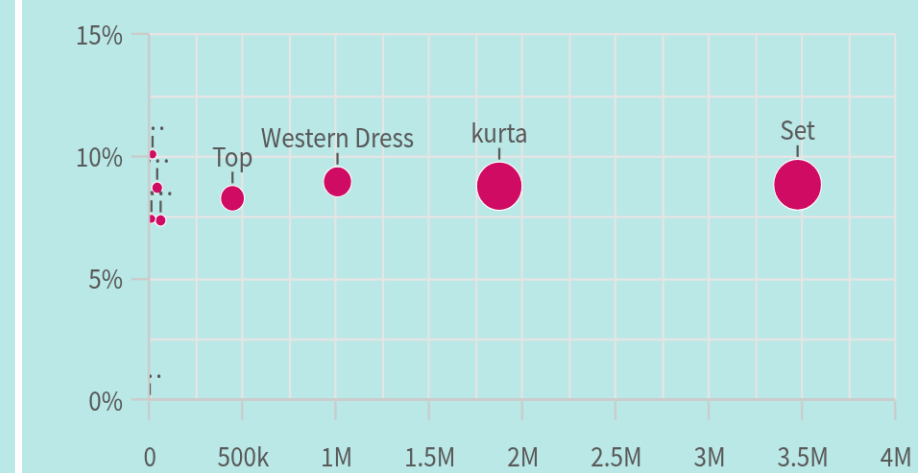
1. Geographic analysis reveals severe concentration of revenue loss. Maharashtra alone accounts for ₹11.3 Lakh, the largest state contributor to revenue leakage.
2. The top 5 states - Maharashtra, Andhra Pradesh, Karnataka, Uttar Pradesh, and Telangana together account for approximately 60% of total revenue lost
3. States with high cancellation RATES (Lakshadweep, Mizoram) contribute negligible revenue loss and states with high ORDER VOLUME (Maharashtra, Andhra Pradesh, Karnataka) drive the actual financial damage.
4. Priority action: Revenue recovery efforts should be concentrated on Maharashtra Andhra Pradesh, and Karnataka first, not on states with high cancellation rates.

Category & Size Insights

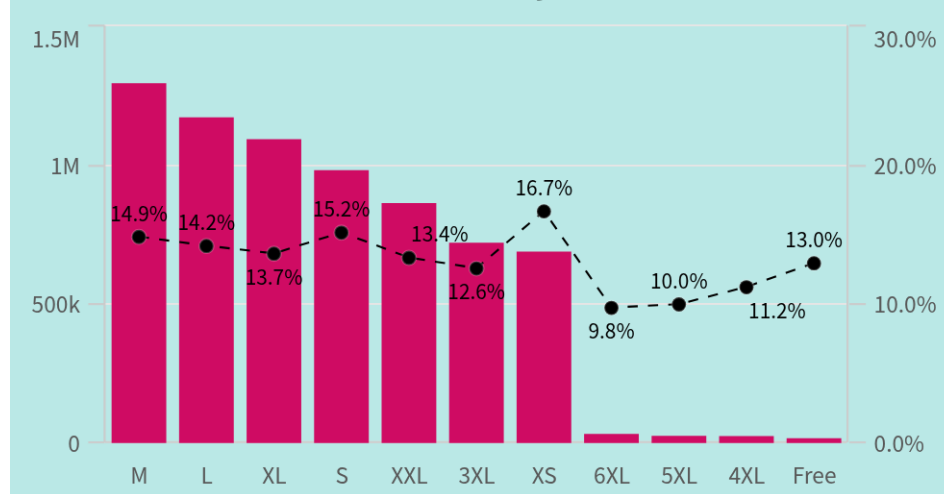
Revenue Loss vs Cancellation Rate by Category



Revenue Loss Rate vs Revenue Loss by Category



Revenue loss vs Cancellation Rate by Size



Key Findings

1. Category analysis confirms the volume-driven pattern. **Set** and **Kurta** together account for 78% of all orders and drive ₹53.4 Lakh in combined revenue loss, not because they cancel at higher rates, but because they dominate order volume.
2. All categories show remarkably similar cancellation rates between 12% and 14.6%, confirming this is a platform-wide operational problem, not a category-specific issue.
3. Size - **M, L, XL, S, XXL, 3XL, XS** drive the highest revenue loss through volume and Cancellation.

Cancellation & Revenue Loss Impact

Non-Promotion Cancellation Rate
36.70%

Promotion Cancellation Rate
0.37%

Key Findings

1. Orders without a promotional offer had a much higher cancellation rate of 36.70%, compared with just 0.37% for orders with a promotion which is nearly 100x of promotional orders. Out of 49,153 non-promotional orders, 18,037 were cancelled, while only 295 out of 79,822 promotional orders were cancelled. This shows orders with promotional offers barely gets cancelled and acts as defence against cancellation.

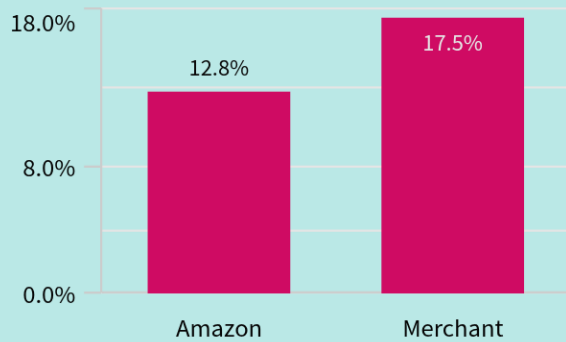
2. Fulfilment also shows a clear difference in cancellation rates. Merchant-fulfilled orders had a 17.5% cancellation rate, compared with 12.8% for Amazon-fulfilled orders. The 4.7% gap was observed across all product categories. Based on the analysis, two areas stand out:

a-> A large share of orders did not have a promotional offer which is approximately 38% of total orders.

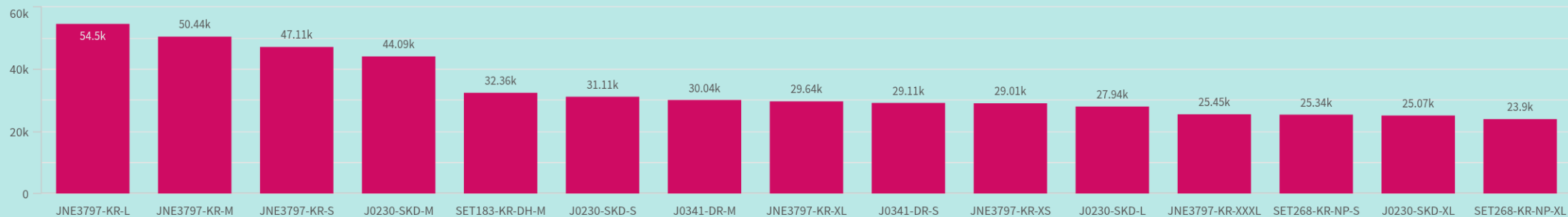
b-> Merchant-fulfilled orders had a higher cancellation rate than Amazon-fulfilled orders.

3. Top 15 SKUs contributed 505K (5 lakh+) revenue loss which is 7% of total revenue loss.

Cancellation Rate by Fulfilment



Top 15 SKUs by Revenue Loss



Recommendation

Based on this analysis, five specific actions are recommended:

- 1. GEOGRAPHIC FOCUS** - Concentrate revenue recovery efforts on Maharashtra, Karnataka, and Andhra Pradesh first. These three states account for approximately 45% of total revenue loss, improving these 3 states would recover significant revenue impact.
- 2. EXPAND PROMOTIONAL OFFERS**- Non-Promotional orders has 100x higher cancellation rate than promotional orders, the most impactful single intervention available. Currently 38% of orders have no promotion with cancellation rate at 36.7%. Extending promotional coverage to these orders could recover an estimated ₹50+ Lakh in annual revenue.
- 3. MIGRATE HIGH-VALUE CATEGORIES FROM MERCHANT TO AMAZON** - Merchant fulfilment cancels at 17.5% vs Amazon at 12.8%, fulfilling high-volume product categories Set, Kurta and Western Dress by Amazon would save 4.7% of revenue impact.
- 4. INVESTIGATE JNE3797-KR (WESTERN DRESS)** - This single SKU accounts for ₹2.95 Lakh in revenue loss across all sizes. Conduct immediate product quality review, verify sizing accuracy, and review product photography and description for accuracy.
- 5. ADDRESS SIZE MISMATCH** - XS and S sizes cancel at the highest rates (16.7% and 15.2%), whereas XS, S, M and L drives the cancellation rate between **14% - 17%** approximately, investigate size guide and customer's reviews to this sizes across all categories to lower down the cancellation rate.